INVESTMENT COMMITTEE MEMORANDUM

Asterion Business Services | Illustrative Sponsor Buyout | USD millions

Confidentiality: Fully fictional company and synthetic operating assumptions. This case study is for portfolio demonstration only.

Executive recommendation

Illustrative investment outcome: 17.7% gross sponsor IRR and 2.26x MOIC over five years, versus a 20.0% underwriting hurdle. The base case does not clear the hurdle; reprice the entry or improve the value-creation plan.

Transaction overview

Transaction metric	Base case
Entry EBITDA	$80.0m
Entry EV / EBITDA	10.0x
Entry enterprise value	$800.0m
Senior / subordinated debt	$320.0m / $80.0m
Sponsor equity	$507.0m
Entry debt / EBITDA	5.0x
Hold period	5 years

Business and value-creation thesis

Asterion is a fictional recurring-revenue business services platform. Underwriting assumes initial 10% revenue growth, tapering by one percentage point annually, and 50 basis points of annual EBITDA margin improvement. Sponsor value creation is driven by organic growth, margin expansion, senior debt amortisation and a cash sweep. No multiple expansion is assumed.

Operating and returns summary

Metric	Year 1	Year 3	Year 5
Revenue	$715.0	$841.7	$954.7
EBITDA	$91.6	$116.2	$141.4
Closing debt	$384.0	$344.1	$267.6

Exit EBITDA of $141.4m at 10.0x produces $1,413.6m exit enterprise value. After $14.1m of exit fees, $267.6m of debt and adding $15.0m minimum cash, sponsor proceeds total $1,146.9m.

Key sensitivities and diligence

The accompanying Excel sensitivity grid evaluates sponsor IRR under exit multiples of 8.0x–12.0x and exit EBITDA outcomes of -20% to +20% versus the base case. It holds the base-case debt balance constant; downside operating performance could also reduce cash sweep and worsen actual debt outcomes.

Priority diligence: customer retention and contract quality; revenue concentration; EBITDA normalisations; working-capital seasonality; maintenance capex; debt covenant headroom; interest-rate exposure; tax structuring; and achievable margin improvement.

Modelling conventions and limitations

Debt interest uses opening-year balances, preventing circular calculations. Senior debt is amortised and excess cash swept; junior debt remains outstanding through exit. Cash taxes exclude NOLs, deferred taxes and tax-shield carryforwards. The model does not include revolvers, acquisitions, dividends, PIK interest, management rollover or transaction financing fees. It is a teaching-quality base case, not a live transaction underwriting model.

Publication notice

This material was independently created with synthetic inputs for public portfolio demonstration. No actual client, transaction, issuer or employer information is represented. It is not investment advice.